

analyzing stocks is a waste of time because current prices already reflect all available information; so, in a sense, the market itself does all the research you need. Those who adhere to this theory claim, only partly in jest, that investment professionals could throw darts at a page of stock quotes and pick winners just as successfully as a seasoned financial analyst who spent hours poring over the latest annual reports or quarterly statements.

Yet the success of some who continually beat the major indexes—most notably Warren Buffett—suggests that the efficient market theory is flawed. Others, Buffett included, argue that the reason most money managers underperform the market is not because it is efficient, but because their methods are faulty.

Management consultants believe successful businesses have three distinct advantages: a behavioral advantage, an analytical advantage, and an organizational advantage.² Studying Warren Buffett, we can see each of these components at work.

Behavioral Advantage

Buffett tells us that successful investing does not require having a high IQ or taking the formal courses taught at most business schools. What matters most is temperament. And when Buffett talks about temperament he means rationality. The cornerstone to rationality is the ability to see past the present and analyze several possible scenarios, eventually making a deliberate choice. That, in a nutshell, is Warren Buffett.

Those who know Buffett agree it is rationality that sets him apart from the rest. “There were a thousand people in my Harvard law school class,” Charlie Munger said. “I knew all the top students, and there was no one as able as Warren. His brain is a superbly rational mechanism.”³ Carol Loomis of *Fortune* magazine, who has known Warren Buffett for over 50 years, also believes rationality is the single most important trait in his investment success.⁴ Roger Lowenstein, the author of *Buffett: The Making of an American Capitalist*, says, “Buffett’s genius [is] largely a genius of character—of patience, discipline, and rationality.”⁵

Bill Gates, a member of the Berkshire Hathaway board, likewise believes rationality is Buffett’s distinguishing characteristic. This point was made